



Final Exams Re-sit, BME: Financial Analysis 1 (Answer all 3 hrs.)

Section A: Provide Brief Answers to the following (3 pts each)

1. What is a statement of cashflow
2. Discuss what information links the balance and income statement
3. What is the primary objective of a corporation?
4. Distinguish between bonds and stocks
5. Identify three current assets and list them in increasing order of liquidity

Section B. Show detail working on your answer sheet (25 points).

1. You're given an income statement for a company below. The total asset for this company equals 20,000,000 FCFA (15 points).

Sales	10,000,000
Cost of goods sold	(4,500,000)
Gross Profit	5,500,000
Selling and administrative expense	(2,000,000)
Lease expense	(500,000)
Operating Profit	3,000,000
Interest expense	(250,000)
Earnings before taxes	2,750,000
Taxes (40%)	(110,000)
Earnings after taxes	2,640,000

Calculate the following

- a. Interest coverage
- b. The fixed charge average

By setting a DuPont formula or otherwise given the total asset for the company (20 million FCFA) calculate the following

- c. Profit margin
- d. Total asset turnover
- e. Return on assets (investment)

2. (10 points)

- a. A corporation has operating income (EBIT) of \$750,000. The company's depreciation expense is \$200,000. The company is 100% equity financed (no debt), and it faces 40% tax rate. What is the company's net income? What is the cash flow?
- b. Give the three times of cash flows activities giving an example of each and stating if it's an inflow or outflow